



MEMORANDUM

TPA - No. 2013-0107

THE PHILIPPINE STOCK EXCHANGE, INC.

- | | |
|---|--|
| ☒ Trading | ☐ Public Advisory |
| ☐ Disclosure | ☐ Administrative/Technology Matters |
| ☐ Listing | ☐ Others: |

TO : INVESTING PUBLIC

DATE : JULY 17, 2013

SUBJECT : FOR PUBLIC COMMENTS: EXTENDED PRE-CLOSE PERIOD

Background

In June 2010, The Philippine Stock Exchange, Inc. ("Exchange") introduced the concept of Pre-Close period, together with the launching of the new trading system, *PSEtrade*. Pre-Close period allows the Trading Participants (TPs) to enter orders to be matched using the computed closing price for a security. The duration of the Pre-Close period was set to three (3) minutes given in consideration of the Exchange's half day trading.

Recent Developments

In 2012, the Exchange extended its trading hours up to 3:30 in the afternoon. The extension resulted to a total of four (4) hours and thirty (30) minutes trading hours, as against the previous two (2) hours and forty (40) minutes trading hours.

The PSE Board of Directors during its regular meeting on July 10, 2013, approved a longer pre-close auction period **from three (3) minutes to five (5) minutes** for the following reasons:

- *To align PSE with other markets with closing auction* – Currently, PSE has the shortest pre-close period in the region. Following are some of the stock exchanges in Asia and the duration of its Pre-Close period:

Exchange	Duration of Pre-Close Period
Bursa Malaysia (BM)	5 minutes
Singapore Exchange (SGX)	6 minutes
Stock Exchange of Thailand (SET)	10 minutes
Indonesia Stock Exchange (IDX)	10 minutes
Hochiminh Stock Exchange (HoSE)	15 minutes

- *To allow the TPs to assess and counter a sharp price move at the close.* Some trading strategies being used may require more time for the TPs to react depending on market conditions.

CTD / HRAD	MOD / TD	IRD	CMDD / CPIRD	OGC / CGO	COO
Tel. No. 688-7561 / 688-7562	Tel. No. 891-4430 / 688-7480	Tel. No. 688-7510	Tel. No. 688-7534 / 688-7529	Tel. No. 688-7411 / 688-7471	Tel. No. 688-7413



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- *To give TPs more time to execute their orders* – Exchange Traded Funds (ETFs) and index funds are mostly benchmarked against the close price of underlying stocks. If a basket of underlying securities is composed of a large number of stocks, this may require longer time for TPs to execute orders in order to minimize impact on prices of the securities.

As a result of the Board approval on the longer Pre-Close auction period, following will be the new trading hours:

09:00 am	-	Pre-Open
09:30 am	-	Market Open
12:00 pm	-	Market Recess
01:30 pm	-	Market Resumes
03:15 pm	-	Pre-Close
03:20 pm	-	Run-Off/Trading-at-Last
03:30 pm	-	Market Close

In this regard, we would like to invite all concerned parties to send their comments to the attached (Annex "A") PSE Revised Trading Rules and its Implementing Guidelines and the proposed revisions.

We would appreciate receiving your comments **not later than 5:00 pm of July 26, 2013 (Friday)**. Please send comments to Ms. Sandra Runas (airunas@pse.com.ph) or call 819-4432 for any questions/inquiries.

For your information.

(Original signed)
RACHELLE C. BLANCH
Head, Market Operations Division

Noted by:

(Original signed)
ROEL REFRAN
COO

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Annex "A"

Specific Rule	Existing Provision	Proposed Amendments																																																																																				
Article II. Trading Day Schedule SECTION 2. Trading Hours (Revised Trading Rules)	The Exchange shall determine the hours and schedule of a Trading Day. Unless the Exchange decides otherwise, a Trading Day shall conform to the following schedule: For half-day trading: <table> <tr><td>8:45 a.m.</td><td>-</td><td>National Anthem</td></tr> <tr><td>9:00 a.m.</td><td>-</td><td>Pre-Open</td></tr> <tr><td>9:30 a.m.</td><td>-</td><td>Market Open</td></tr> <tr><td>11:57 a.m.</td><td>-</td><td>Pre-Close</td></tr> <tr><td>12:00 p.m.</td><td>-</td><td>Run-off/ Trading at Last</td></tr> <tr><td>12:10 p.m.</td><td>-</td><td>Market Close</td></tr> </table> For whole day trading: <table> <tr><td>8:45 a.m.</td><td>-</td><td>National Anthem</td></tr> <tr><td>9:00 a.m.</td><td>-</td><td>Pre-Open</td></tr> <tr><td>9:30 a.m.</td><td>-</td><td>Market Open</td></tr> <tr><td>12:00 p.m.</td><td>-</td><td>Market Recess</td></tr> <tr><td>1:30 p.m.</td><td>-</td><td>Market Resumes</td></tr> <tr><td>3:17 p.m.</td><td>-</td><td>Pre-Close</td></tr> <tr><td>3:20 p.m.</td><td>-</td><td>Run-off/ Trading-at-Last</td></tr> <tr><td>3:30 p.m.</td><td>-</td><td>Market Close</td></tr> </table> The Exchange may effect changes to the hours and schedule of a Trading Day, as the circumstance warrants.	8:45 a.m.	-	National Anthem	9:00 a.m.	-	Pre-Open	9:30 a.m.	-	Market Open	11:57 a.m.	-	Pre-Close	12:00 p.m.	-	Run-off/ Trading at Last	12:10 p.m.	-	Market Close	8:45 a.m.	-	National Anthem	9:00 a.m.	-	Pre-Open	9:30 a.m.	-	Market Open	12:00 p.m.	-	Market Recess	1:30 p.m.	-	Market Resumes	3:17 p.m.	-	Pre-Close	3:20 p.m.	-	Run-off/ Trading-at-Last	3:30 p.m.	-	Market Close	The Exchange shall determine the hours and schedule of a Trading Day. Unless the Exchange decides otherwise, a Trading Day shall conform to the following schedule: For half-day trading: <table> <tr><td>8:45 a.m.</td><td>-</td><td>National Anthem</td></tr> <tr><td>9:00 a.m.</td><td>-</td><td>Pre-Open</td></tr> <tr><td>9:30 a.m.</td><td>-</td><td>Market Open</td></tr> <tr><td>11:57 a.m.</td><td>-</td><td>Pre-Close</td></tr> <tr><td>12:00 p.m.</td><td>-</td><td>Run-off/ Trading at Last</td></tr> <tr><td>12:10 p.m.</td><td>-</td><td>Market Close</td></tr> </table> For whole day trading: <table> <tr><td>8:45 a.m.</td><td>-</td><td>National Anthem</td></tr> <tr><td>9:00 a.m.</td><td>-</td><td>Pre-Open</td></tr> <tr><td>9:30 a.m.</td><td>-</td><td>Market Open</td></tr> <tr><td>12:00 p.m.</td><td>-</td><td>Market Recess</td></tr> <tr><td>1:30 p.m.</td><td>-</td><td>Market Resumes</td></tr> <tr><td><u>3:15 p.m.</u></td><td>-</td><td><u>Pre-Close</u></td></tr> <tr><td>3:20 p.m.</td><td>-</td><td>Run-off/ Trading-at-Last</td></tr> <tr><td>3:30 p.m.</td><td>-</td><td>Market Close</td></tr> </table> The Exchange may effect changes to the hours and schedule of a Trading Day, as the circumstance warrants.	8:45 a.m.	-	National Anthem	9:00 a.m.	-	Pre-Open	9:30 a.m.	-	Market Open	11:57 a.m.	-	Pre-Close	12:00 p.m.	-	Run-off/ Trading at Last	12:10 p.m.	-	Market Close	8:45 a.m.	-	National Anthem	9:00 a.m.	-	Pre-Open	9:30 a.m.	-	Market Open	12:00 p.m.	-	Market Recess	1:30 p.m.	-	Market Resumes	<u>3:15 p.m.</u>	-	<u>Pre-Close</u>	3:20 p.m.	-	Run-off/ Trading-at-Last	3:30 p.m.	-	Market Close
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Annex "A"

II. Trading Hours (Implementing Guidelines of the Revised Trading Rules)	Unless the Exchange provides otherwise, the trading of Securities in the Exchange will be governed by the following schedule of trading hours:	Unless the Exchange provides otherwise, the trading of Securities in the Exchange will be governed by the following schedule of trading hours:
	xxx	xxx
	<i>For whole day trading</i>	<i>For whole day trading</i>
	8:45 am NATIONAL ANTHEM	8:45 am NATIONAL ANTHEM
	9:00 am PRE-OPEN PERIOD No matching of Orders can occur during this period, but TPs can enter, modify, or cancel Orders, which will be processed based on the pre-opening algorithm.	9:00 am PRE-OPEN PERIOD No matching of Orders can occur during this period, but TPs can enter, modify, or cancel Orders, which will be processed based on the pre-opening algorithm.
	9:15 am – 9:30 am PRE-OPEN NO-CANCEL PERIOD TPs are allowed to enter Orders but cannot cancel or modify Orders during this period.	9:15 am – 9:30 am PRE-OPEN NO-CANCEL PERIOD TPs are allowed to enter Orders but cannot cancel or modify Orders during this period.
	9:30 am OPENING PERIOD The period when the Opening Price for all Securities is calculated. During the Opening Period, the Order book is frozen and Order entry, modification and cancellation by TPs are not allowed.	9:30 am OPENING PERIOD The period when the Opening Price for all Securities is calculated. During the Opening Period, the Order book is frozen and Order entry, modification and cancellation by TPs are not allowed.
	9:30am – 12:00 nn CONTINUOUS TRADING A Period when Orders are automatically matched at the Best Price in accordance with the Revised Trading Rules.	9:30am – 12:00 nn CONTINUOUS TRADING A Period when Orders are automatically matched at the Best Price in accordance with the Revised Trading Rules.
	12:00 nn – 1:30 pm MARKET RECESS	12:00 nn – 1:30 pm MARKET RECESS

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	1:30 pm – 3:17 pm <i>MARKET RESUMES/ AFTERNOON SESSION</i> - During this period, trading for all Securities is halted. TPs cannot post, modify or cancel Orders during this period. - During this period, Orders are automatically matched at the Best Price in accordance with the Revised Trading Rules. This period operates in the same way as the period of Continuous Trading.	1:30 pm – <u>3:15 pm</u> <i>MARKET RESUMES/ AFTERNOON SESSION</i> - During this period, trading for all Securities is halted. TPs cannot post, modify or cancel Orders during this period. - During this period, Orders are automatically matched at the Best Price in accordance with the Revised Trading Rules. This period operates in the same way as the period of Continuous Trading.
	3:17 pm – 3:19 pm <i>PRE-CLOSE AUCTION PERIOD</i> This period is the same as the Pre-Open Auction Period. During this period, TPs can enter, modify or cancel Orders.	<u>3:15 pm – 3:18 pm</u> <i>PRE-CLOSE AUCTION PERIOD</i> This period is the same as the Pre-Open Auction Period. During this period, TPs can enter, modify or cancel Orders.
	3:19 pm – 3:20 pm <i>PRE-CLOSE NO-CANCEL PERIOD</i> During this period, TPs are allowed to enter Orders but cannot cancel or modify Orders.	<u>3:18 pm – 3:20 pm</u> <i>PRE-CLOSE NO-CANCEL PERIOD</i> During this period, TPs are allowed to enter Orders but cannot cancel or modify Orders.
	3:20 pm – 3:30 pm <i>RUN-OFF/ TRADING-AT-LAST</i> TPs can enter Limit Orders at the Closing Price only or Market Orders but matching is executed only at the Closing Price for both Order types. xxx	3:20 pm – 3:30 pm <i>RUN-OFF/ TRADING-AT-LAST</i> TPs can enter Limit Orders at the Closing Price only or Market Orders but matching is executed only at the Closing Price for both Order types. xxx